2.3 Making operational decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 48
- **Total marks:** 148
- **Sub-topics covered:** 4
- **Questions with embedded source pages:** 28

By series:

- **Specimen SAMs:** 8 questions
- **June 2019:** 5 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 7 questions
- **June 2022:** 7 questions
- **June 2023:** 8 questions
- **June 2024:** 7 questions

2.3.1 Business operations (15 questions)

Specimen SAMs · Paper 2 · Q2(b) · §A

MCQ 2 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

Which two of the following are advantages to a business of using just in time (JIT) production?

A. Improved cash flow
B. Increased ability to meet an unexpected order
C. Increased ability to exploit economies of scale
D. Stock is less likely to become out of date
E. Improved product range

MARK SCHEME ANSWER

A, D

Specimen SAMs · Paper 2 · Q5(d) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 5

> Figure 3 shows a bar gate stock graph which details the delivery of ash wood to Fender's factory for 60 days in 2016. During this time it received three deliveries of ash wood from its supplier. These are marked on Figure 3 as A, B and C. Stocks of ash wood (in kg) plotted against number of days. Re-order level shown at ~1600 kg, buffer stock at 200 kg, max stock ~2600 kg.

ADDITIONAL INFORMATION

> Fender uses job production to manufacture its hand-made musical instruments.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Analyse the impact on Fender of using job production to produce these musical instruments.

MARK SCHEME ANSWER

Indicative content: The guitars will be individual to each musician (AO2). The cost of producing guitars will be higher (AO2). This means musicians such as Bruno Mars will be willing to pay a high price for an individually crafted instrument, resulting in high profit margins (AO3a). This results in low profit margins if the extra costs of production cannot be recouped through selling the guitars at a higher price (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2019 · Paper 2 · Q1(c) · §A Explain **3 marks**

Explain one drawback to a business of using job production.

MARK SCHEME ANSWER

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. All of the products may be made by different workers (1). Therefore, the products may not be identical (1). As a result, each product could be of differing quality (1). This method of production is slower than batch or flow (1). Therefore, productivity may be lower (1). As a result, the cost of producing each unit may rise (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Nov 2020 · Paper 2 · Q4(a) · §B

Outline 2 marks

CASE STUDY EXTRACT

> Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

Outline one benefit to KFC of using batch production in its restaurants.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to KFC (Kentucky Fried Chicken) of using batch production in its restaurants. Award a maximum of 1 mark if points are not linked. KFC will be able to fry several chicken portions at the same time (1). Therefore, the productivity of cooking will be higher than if they used job production (1). KFC still has the ability to customise menu items that it would not be able to do with flow production (1). Therefore, if a customer wants no mayonnaise on their burger KFC will be able to meet this need (1). Do not accept a benefit of using batch production that would not relate to KFC. For example, it ensures that all the products made within the batch are totally identical.

Nov 2021 · Paper 2 · Q3(e) · §A Discuss **6 marks**

DATA FOR QUESTION 3

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

Discuss the disadvantage to a business of using a just in time (JIT) system of stock control.

MARK SCHEME ANSWER

Indicative content: The business may run out of stocks of raw materials if suppliers do not deliver on time (AO1b). The business will not be able to place bulk orders for raw materials (AO1b). Therefore, production will stop because the business will not have any buffer stocks. As a result, customers will not receive their orders on time (AO3a). Therefore, the average variable cost of raw materials will increase. As a result, the profit margin for the product may fall (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2021 · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a $976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a $976 million loss in 2018.

(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

Analyse the benefit to Tesla of using flow production in its new factory.

MARK SCHEME ANSWER

Indicative content: Tesla will be able to produce large numbers of Model 3 cars (AO2). It is a much more efficient method of producing electric cars for the mass market (AO2). As a result, as the market for electric cars gets larger, Tesla will be able to satisfy demand, allowing it to generate increased sales revenue (AO3a). Therefore, the average total cost of producing the Model 3 should fall. This should allow Tesla to reduce the price to $35 000 and still make a profit (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2021 · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an *ASOS* warehouse

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows *ASOS* to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given *ASOS* the ability to increase the range of clothes it can sell on its website.

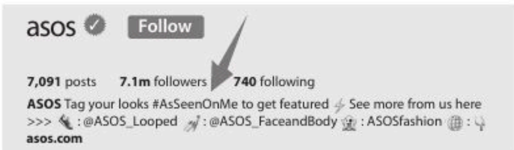

Figure 5: *ASOS's* Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, *ASOS's* profits have fallen. This has caused the company's share price to fall. *ASOS* has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest *ASOS* outfit on social media. In return, *ASOS* gives customers the opportunity to be featured on the *ASOS* Instagram feed which has 7.1 million followers.

(Source: adapted from https://jilt.com/upsell/asos-shipping-logistics/ and https://sproutsocial.com/insights/social-media-marketing-examples/)

Evaluate whether high quality logistics will give ASOS a competitive advantage. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Allowing customers to receive their clothes the next day fulfils a customer need of the target market (AO1b). Being able to deliver products to customers on time can be easily copied by other online/high street retailers (AO1b). This is because 16-30 year olds will not want to wait to receive clothes for a party or special occasion where they want to wear the garments the next day (AO2). Rivals such as Boohoo and high street retailers with websites such as Debenhams are also likely to offer high quality logistics. They too may allow customers to receive clothes the next day after ordering (AO2). Therefore, ASOS's logistics may become a unique selling point (USP) of the business because it provides convenience that other retailers do not offer. This reduces the importance of other factors that may be important in a customer's decision to purchase clothing from a retailer e.g. price. Therefore, ASOS could charge a premium for the additional convenience provided. This could give the company a competitive advantage (AO3a). As a result, logistics may not be an important source of competitive advantage since it is likely that price and fashion are much more important amongst lower income 16-30 year old customers. Therefore, logistics has a limited impact on the success of ASOS (AO3a). However, the market is becoming increasingly competitive as more e-commerce businesses target the same market. Therefore, it is likely that ASOS's competitive advantage from logistics will only exist in the short-term unless it can move towards same day delivery which will be harder for rivals to copy (AO3b). However, it depends on the degree to which its target market values convenience and speed of delivery. If this is critical then it is likely that logistics will remain a major source of competitive advantage for ASOS (AO3b). Level 1 (1-4): Elements of knowledge; limited application; conclusion supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge; sound application; conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge; detailed application; valid and well-reasoned conclusion based on thorough evaluation.

June 2022 · Paper 2 · Q4(a) · §B

Outline **2 marks**

CASE STUDY EXTRACT

> Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

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SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.

(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

Outline one drawback to Greggs of using batch production in its factories.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a drawback to Greggs. Award a maximum of 1 mark if points are not linked. Greggs' may have to clean the sausage roll machine every time they produce a batch of vegan sausage rolls (1). Therefore, the productivity of the production line may be lower (1). Batch production is less efficient than flow production (1). Therefore, the cost of making a Vegan sausage roll may be higher than it could be (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2022 · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

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SECTION B

Answer ALL questions.

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(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

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Analyse the impact on Greggs from increasing the use of technology in its factories.

MARK SCHEME ANSWER

Indicative content: New technology, such as food manufacturing equipment is expensive (AO2). This should allow productivity of its sausage roll production line to increase (AO2). As a result, Greggs fixed costs are likely to increase. Therefore, it will need a greater level of contribution to pay off the greater fixed cost burden. As a result, the break-even point may rise (AO3a). Therefore, the average variable cost of making a sausage roll should fall. As a result, profit margins on each item should rise (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2022 · Paper 2 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

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DATA FOR QUESTION 6

> In order to continue the growth in its sales, Greggs is considering two options: Option 1: differentiate its product range; Option 2: lower its prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION B

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Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.

(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

State one good that Greggs produces in its factories.

MARK SCHEME ANSWER

Award 1 mark for stating one good that Greggs produce in its factories. Cakes (1). Pizza (1). Sausage roll (1). Sandwiches (1). Soup (1). Vegan sausage roll (1). To award 1 mark there must be evidence of application.

June 2023 · Paper 2 · Q1(d) · §A Explain **3 marks**

DATA FOR QUESTION 1

> Figure 1 shows a diagram of the product life cycle with four phases (Phase 1, Phase 2, Phase 3, Phase 4), with sales rising and then declining.

Explain one impact on a business of using flow production.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The business will be able to automate the production line (1). As a result, the productivity of the business may rise (1). Therefore, the unit cost of making each item should fall (1). Production is less flexible (1). Therefore, a standardised product must be made (1). As a result, it is difficult to make different versions of the product to meet customer needs (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q2(b) · §A MCQ **2 marks**

DATA FOR QUESTION 2

> Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

Which two of the following are services? Select two answers.

A. Accountancy
B. Biscuits
C. Furniture
D. Hairdressing
E. Shoes

MARK SCHEME ANSWER

The only correct answers are A – Accountancy and D – Hairdressing. B is not correct because it is a good. C is not correct because it is a good. E is not correct because it is a good.

June 2024 · Paper 2 · Q1(d) · §A

Explain **3 marks**

Explain one advantage to a business of using just in time (JIT) stock control.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage, up to a total of 3 marks. The business can hold less stock (1). Therefore, the business does not have to incur the costs of warehousing stock (1). As a result, it will have better net cash-flow (1). The business will be better placed to match stock with demand (1). Therefore, it will not be left with excess stock (1). Thus, it may not have to sell this stock off at a substantial discount (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

June 2024 · Paper 2 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

> Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following elements of the marketing mix relates to the distribution of a product to the consumer?

(1)

Select **one** answer.

☐ **A** Place

☐ **B** Price

☐ **C** Product

☐ **D** Promotion

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

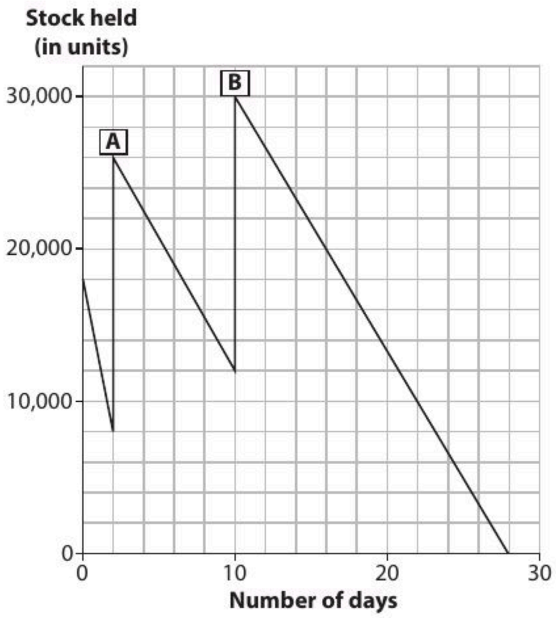

Figure 1

(b) Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

(2)

.... days

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Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

MARK SCHEME ANSWER

Substitution into correct formula: Day 28 - Day 10 (1). Answer: 18 days (1). Award full marks for correct numerical answer without working.

June 2024 · Paper 2 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 5

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes'* best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.

(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Analyse the drawback to Popeyes from trying to improve productivity.

MARK SCHEME ANSWER

Indicative content: Popeyes may have to reorganise its kitchens and move equipment like fryers to allow its chefs to work faster (AO2). The business may have to re-train its workers to improve their speed in preparing and cooking chicken (AO2). This may mean that productivity falls in the short-term which increases the amount of time customers may have to wait. This may discourage customers from making repeat purchases in the future (AO3a). This may result in some staff leaving Popeyes since they may feel that they are being asked to do more work for no extra pay. This may cause demotivation amongst the remaining workers and leave the restaurant short-staffed (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

2.3.2 Working with suppliers (17 questions)

Specimen SAMs · Paper 2 · Q5(a) · §B

Identify 1 marks

CASE STUDY EXTRACT

Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 5

Figure 3 shows a bar gate stock graph which details the delivery of ash wood to Fender's factory for 60 days in 2016. During this time it received three deliveries of ash wood from its supplier. These are marked on Figure 3 as A, B and C. Stocks of ash wood (in kg) plotted against number of days. Re-order level shown at ~1600 kg, buffer stock at 200 kg, max stock ~2600 kg.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

(d) Explain **one** impact of excessive communication within a business.

(3)

(e) Explain **one** disadvantage to a business of providing poor customer service.

(3)

(Total for Question 2 = 12 marks)

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SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

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(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

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(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Specimen SAMs P2 page 64

Identify the amount of ash wood Fender held as a buffer stock.

MARK SCHEME ANSWER

200 kg. Do not award a mark if the correct unit (kg) is not given.

Specimen SAMs · Paper 2 · Q5(b) · §B

Identify 1 marks

CASE STUDY EXTRACT

> Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

(d) Explain **one** impact of excessive communication within a business.

(3)

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(3)

(Total for Question 2 = 12 marks)

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SECTION C

Answer ALL questions. Write your answers in the spaces provided.

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7 (a) Define the term 'takeover'.

(1)

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(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

....

....

....

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Specimen SAMs P2 page 64

Identify the day when delivery B of ash wood arrived at Fender's factory.

MARK SCHEME ANSWER

Day 32

Specimen SAMs · Paper 2 · Q5(c) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 5

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

(d) Explain **one** impact of excessive communication within a business.

(3)

(e) Explain **one** disadvantage to a business of providing poor customer service.

(3)

(Total for Question 2 = 12 marks)

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SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

Specimen SAMs P2 page 64

Calculate the amount of ash wood that was delivered to Fender in order B. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: 2600 kg – 400 kg (1). Answer: 2 200 kg (1). Award full marks for correct numerical answer without working.

Specimen SAMs · Paper 2 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Extract A: Fender is an American company which produces musical instruments, such as electric guitars. Its most famous brands of guitars have been used by popular musicians such as Bruno Mars. Fender's most expensive guitars are manufactured using the finest raw materials such as wood from ash trees. These hand-made guitars are seen as some of the finest musical instruments in the world and are unique to each individual musician. As a result of using job production for its guitars, Fender is able to charge prices as high as £10 000 per guitar. In 2012 Fender started using 3D printing, a process of making three-dimensional (3D) solid objects from a digital model. Fender uses 3D printers to trial new designs for its guitars. Ideas for new guitar models can now be printed-off in Fender's factory, instead of using a specialist model-building company. Figure 2 shows 'CONNECT WITH FENDER' page with social media links for various Fender brands.

DATA FOR QUESTION 6

> Fender is considering two options to increase its profitability: Option 1: Increase advertising. Option 2: Increase prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

7 (a) Define the term 'takeover'.

(1)

(b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

(c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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State one factor that Fender will consider when choosing its suppliers.

MARK SCHEME ANSWER

Award 1 mark for stating one factor Fender will consider when choosing suppliers. Quality of the electronic components supplied (1). Ethical sourcing of ash wood (1). Speed of delivery of materials, such as wood/strings (1). Accept any other appropriate response. Do not accept factors that would not be appropriate for a musical instrument manufacturer such as Fender, for example freshness of raw materials.

June 2019 · Paper 2 · Q2(d) · §A Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

Explain one benefit to a business of having a good relationship with its suppliers.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Suppliers are more likely to give the business discounts on raw materials (1). This means that the variable costs per unit may fall (1). Therefore, the profit made on each item may increase (1). Suppliers are likely to become more reliable (1). Therefore, supplies of raw materials are more likely to arrive on time (1). As a result, a business can now successfully operate a just in time stock control system (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Nov 2020 · Paper 2 · Q5(a) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

DATA FOR QUESTION 5

> Figure 2 shows a bar gate stock graph which details the delivery of chicken portions to KFC's Exmouth restaurant during February 2018. During this time it received two deliveries of chicken portions. These are marked as A and B. The graph shows portions of chicken on the y-axis (0 to 1,500) and number of days on the x-axis (0 to 30+), with re-order level around 800 and buffer stock around 100.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

5 Figure 2 shows a bar gate stock graph which details the delivery of chicken portions to *KFC's* Exmouth restaurant during February 2018. During this time it received two deliveries of chicken portions. These are marked as A and B.

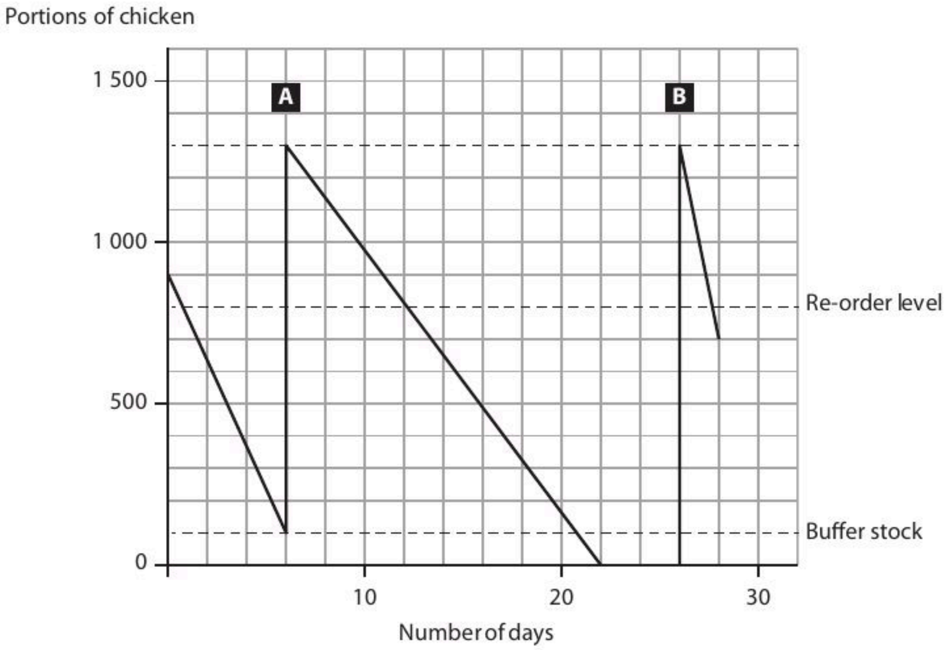

Figure 2

(a) Using the information in Figure 2, calculate the size of order A. You are advised to show your workings.

(2)

.... portions of chicken.

(b) Using the information in Figure 2, calculate the number of days that *KFC's* Exmouth restaurant ran out of chicken. You are advised to show your workings.

(2)

.... days.

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Using the information in Figure 2, calculate the size of order A. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: 1,300 portions - 100 portions (1). Answer: 1,200 portions of chicken (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 2 · Q5(b) · §B

Calculate 2 marks

CASE STUDY EXTRACT

> Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

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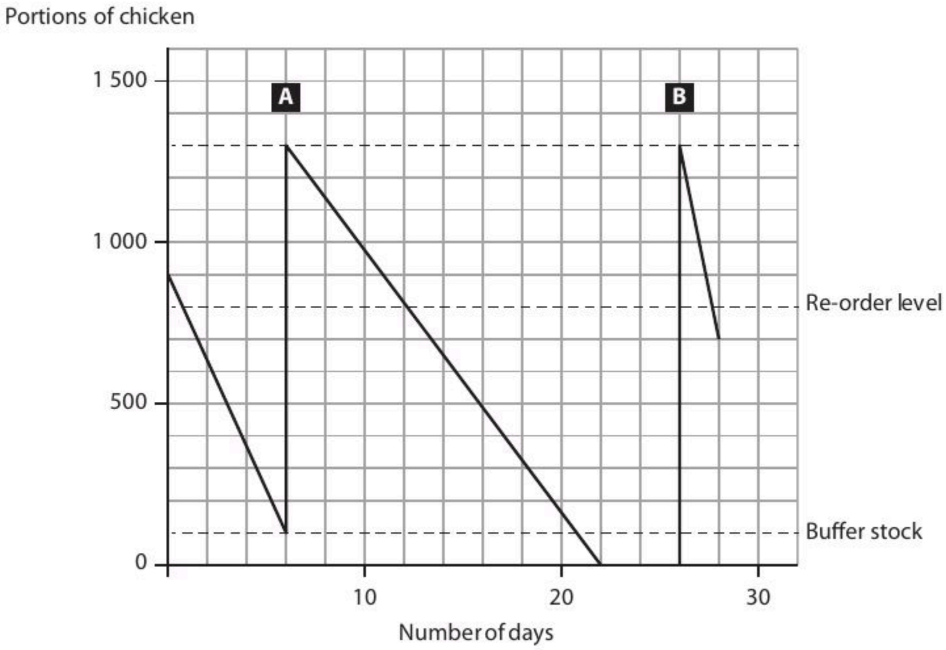

Figure 2

(a) Using the information in Figure 2, calculate the size of order A. You are advised to show your workings.

(2)

.... portions of chicken.

(b) Using the information in Figure 2, calculate the number of days that *KFC's* Exmouth restaurant ran out of chicken. You are advised to show your workings.

(2)

.... days.

Using the information in Figure 2, calculate the number of days that KFC's Exmouth restaurant ran out of chicken. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: Day 26 - Day 22 (1). Answer: 4 days (1). Award full marks for correct numerical answer without working.

Nov 2020 · Paper 2 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

DATA FOR QUESTION 5

Figure 2 shows a bar gate stock graph which details the delivery of chicken portions to KFC's Exmouth restaurant during February 2018. During this time it received two deliveries of chicken portions. These are marked as A and B. The graph shows portions of chicken on the y-axis (0 to 1,500) and number of days on the x-axis (0 to 30+), with re-order level around 800 and buffer stock around 100.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

Analyse the impact on KFC of poor supplier reliability.

MARK SCHEME ANSWER

Indicative content: KFC may run out of chicken at busy times such as Saturday lunchtime (AO2). KFC may have to restrict the options on its menu and items like boneless boxes may not be available (AO2). This may disappoint consumers since their needs are no longer being met. As a result, consumers may switch to other fast food outlets such as Burger King. This may cause KFC's revenue to go down (AO3a). This may mean KFC cannot produce all the items it normally sells. As a result, staff members may not be working to their full potential. Therefore, productivity at KFC may fall (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2021 · Paper 2 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

Procurement involves a business having a strong relationship with which one of the following stakeholder groups?

A. Local community
B. Managers
C. Pressure groups
D. Suppliers

MARK SCHEME ANSWER

D - Suppliers

June 2022 · Paper 2 · Q1(a) · §A

MCQ 1 marks

DATA FOR QUESTION 1

> Figure 1 shows a bar gate stock graph with stock held (in units) on the y-axis and number of days on the x-axis. The graph shows stock fluctuating between approximately 600 and 2,500 units over 60 days.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 (a) Which **one** of the following is the minimum level of stock held by the business in the bar gate stock graph shown in Figure 1?

(1)

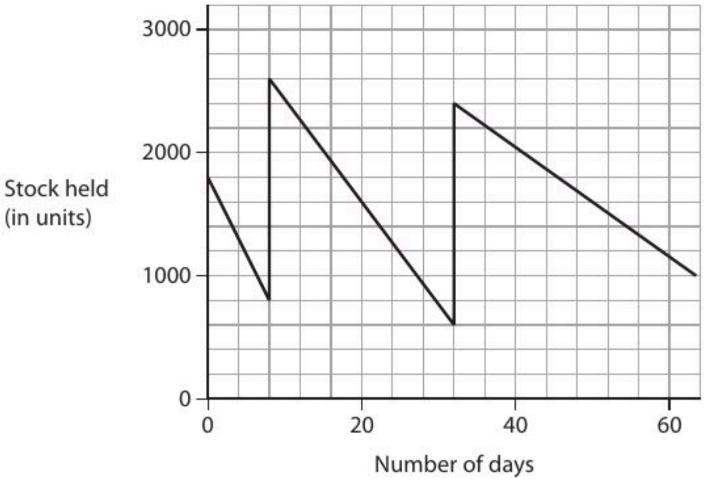

Figure 1

Select **one** answer.

☐ **A** 200 units

☐ **B** 300 units

☐ **C** 600 units

☐ **D** 800 units

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

Which one of the following is the minimum level of stock held by the business in the bar gate stock graph shown in Figure 1?

A. 200 units

B. 300 units

C. 600 units

D. 800 units

MARK SCHEME ANSWER

The only correct answer is C – 600 units. A is not correct because it is not the minimum stock level. B is not correct because it is not the minimum stock level. D is not correct because it is not the minimum stock level.

June 2022 · Paper 2 · Q1(d) · §A Explain **3 marks**

DATA FOR QUESTION 1

> Figure 1 shows a bar gate stock graph with stock held (in units) on the y-axis and number of days on the x-axis. The graph shows stock fluctuating between approximately 600 and 2,500 units over 60 days.

Explain one disadvantage to a business of using a just in time (JIT) system of stock control.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Suppliers of raw materials may not be reliable (1). As a result, production could stop if deliveries are late (1). Therefore, the business may not be able to meet customer orders (1). The business will not be able to buy in bulk (1) because JIT results in frequent, smaller orders being placed for raw materials (1). Therefore, the average variable cost of raw materials could be higher (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 2 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

DATA FOR QUESTION 5

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.

(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

Analyse the impact on Greggs from improving its logistics.

MARK SCHEME ANSWER

Indicative content: Greggs' 1,900 shops are less likely to run out of food such as pizza and cakes (AO2). Greggs may now be able to use a just in time (JIT) stock management system since baked goods like cakes can quickly become out of date (AO2). As a result, Greggs will always have a full range of products to sell in its shops, allowing it to gain a competitive advantage over its rivals (AO3a). This may allow Greggs to reduce waste and improve efficiency. As a result, the cost of manufacturing a product may fall allowing a higher profit margin to be obtained (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2023 · Paper 2 · Q3(b) · §A

Calculate 2 marks

DATA FOR QUESTION 3

> Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

3 (a) Which **one** of the following is a fringe benefit?

(1)

Select **one** answer.

☐ **A** Company car

☐ **B** Job enrichment

☐ **C** Salary

☐ **D** Wages

Figure 2 shows a bar gate stock graph which shows the deliveries of raw materials to a business in June 2021. These deliveries are labelled A, B and C.

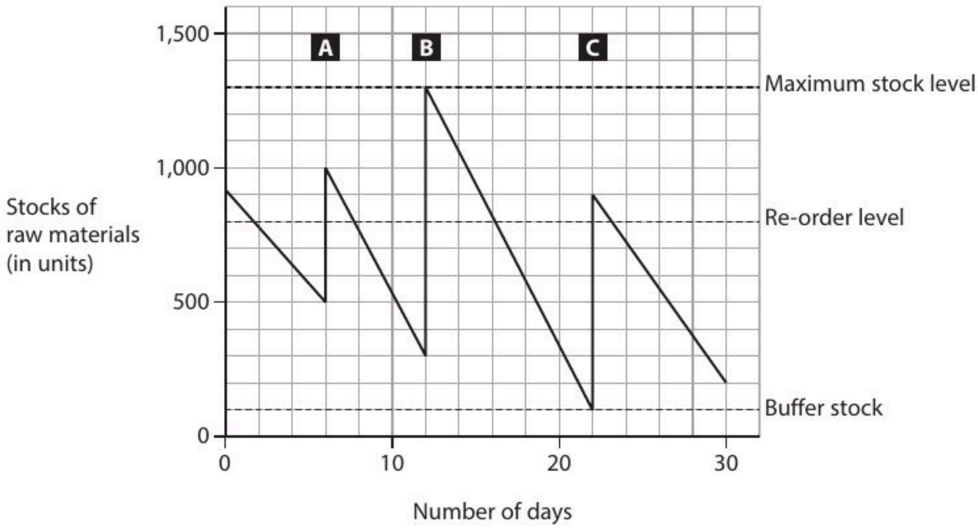

Figure 2

(b) Using the information in Figure 2, calculate the total amount of stock that was delivered to the business in June 2021. You are advised to show your workings.

(2)

.... units

Using the information in Figure 2, calculate the total amount of stock that was delivered to the business in June 2021. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: 500 + 1,000 + 800 (1). Answer: 2,300 units (1). Award full marks for correct numerical answer without working.

June 2023 · Paper 2 · Q3(c) · §A Explain **3 marks**

DATA FOR QUESTION 3

> Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

Explain one disadvantage to a business of having a poor relationship with its suppliers.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage, up to a total of 3 marks. Deliveries of raw materials may be late (1). Therefore, production may be disrupted (1). Thus, the business may not be able to meet the needs of its customers (1). The business may not get good terms for trade credit (1). Therefore, they may have to pay cash to their suppliers earlier (1). As a result, net cash flow may fall (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 6

> In order to increase its share of the online grocery market, Ocado has considered two options: Option 1: offering a faster delivery service. Option 2: expanding its product range.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

In 2020, *Ocado*'s sales rose by more than 40% as demand for online grocery shopping increased. *Ocado* has invested in new technology in its warehouses. This has allowed *Ocado* to use a just in time (JIT) stock management system. As part of this investment, *Ocado*'s robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed *Ocado* to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

Outline one drawback to Ocado of using just in time (JIT) stock control.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a drawback to Ocado of using just in time (JIT) stock control. Award a maximum of 1 mark if points are not linked. If there is a sudden increase in demand for grocery items like toilet rolls, Ocado may run out of stock (1). Therefore, customers may switch to rival supermarkets such as Asda (1). Ocado will not be able to buy items, such as baked beans, in bulk (1). Therefore, the unit cost will rise (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2024 · Paper 2 · Q6(a) · §B

State **1 marks**

CASE STUDY EXTRACT

> Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 6

> In order to help increase the profit made by the Stratford branch of Popeyes, the manager is considering the following two options: Option 1: employ workers on flexible hours. Option 2: employ workers full-time.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.

(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

June 2024 P2 page 26

State one example of stock that Popeyes is likely to purchase from a supplier.

MARK SCHEME ANSWER

Award 1 mark for stating one example of stock that Popeyes is likely to purchase from a supplier. Chicken (1). Cooking oil (1). Coca-Cola (1). To award 1 mark there must be evidence of application.

June 2024 · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 6

In order to help increase the profit made by the Stratford branch of Popeyes, the manager is considering the following two options: Option 1: employ workers on flexible hours. Option 2: employ workers full-time.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes'* best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.

(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Outline one benefit to Popeyes from having a good relationship with its suppliers.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to Popeyes from having a good relationship with its suppliers. Popeyes may be able to secure faster delivery from its suppliers (1). Therefore, they will never run out of stock of cooking oil or chicken (1). The fast-food business could negotiate cheaper prices for chicken (1). This would reduce the variable costs of the business (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.3.3 Managing quality (5 questions)

Specimen SAMs · Paper 2 · Q1(c) · §A Explain **3 marks**

Explain one benefit to a business of producing a high-quality product.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. A high-quality product would improve the business's brand image (1), therefore allowing the business to charge a premium (1), which will increase the net profit margin (1). A high-quality product will lead to fewer defects (1), therefore fewer customer complaints (1), resulting in lower costs for the customer services department (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

June 2019 · Paper 2 · Q1(d) · §A Explain **3 marks**

Explain one advantage to a business of producing a high quality product.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. This may be a source of differentiation (1). Therefore, the business may attract more customers (1). As a result, market share may increase (1). The business may be able to charge higher prices (1). This could increase the difference between revenue and cost (1). Therefore, the profit margin on each product may increase (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q2(e) · §A

Explain | 3 marks

DATA FOR QUESTION 2

> Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

Explain one drawback to a business of introducing a system of quality assurance.

MARK SCHEME ANSWER

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks.

This may involve a large amount of employee training (1). This is because workers at each stage of the production process are now responsible for checking their own work (1). Therefore, business costs may increase (1).

This will require a change in culture (1). This is because employees will now need to check every stage in the production of the product (1). As a result, this could be very time consuming (1).

Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 5

> Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

In 2020, *Ocado*'s sales rose by more than 40% as demand for online grocery shopping increased. *Ocado* has invested in new technology in its warehouses. This has allowed *Ocado* to use a just in time (JIT) stock management system. As part of this investment, *Ocado*'s robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed *Ocado* to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

Analyse the benefit to Ocado of using new technology in its warehouses.

MARK SCHEME ANSWER

Indicative content: The new technology has given Ocado the ability to process an extra 30,000 grocery orders per week (AO2). The new technology allows a grocery order to be picked in under 5 minutes with heavy items placed in the bottom of a bag (AO2). Therefore, it has been able to cope with the increase in demand for products ordered online. As a result, customer satisfaction has remained high allowing Ocado to maintain customer loyalty in an enlarged market for online shopping (AO3a). This allows Ocado to have a competitive advantage over its rivals since groceries are less likely to be damaged. As a result, it should be able to deliver with fewer complaints from its customers. This may enhance its brand loyalty (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2024 · Paper 2 · Q2(d) · §A Explain **3 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

Explain one method a business could use to improve the quality of its products.

MARK SCHEME ANSWER

Award 1 mark for a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could train its employees better (1). Therefore, they will be more likely to be able to spot faults in a product (1). As a result, products are less likely to break after being sold (1). The business could use quality assurance (1). Therefore, every single worker has a responsibility to ensure that the product is made correctly (1). As a result, it is less likely that faulty products will leave the production line (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

2.3.4 The sales process (11 questions)

Specimen SAMs · Paper 2 · Q2(e) · §A

Explain 3 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

Explain one disadvantage to a business of providing poor customer service.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. The brand image will be damaged (1), therefore customer loyalty will fall (1). This results in the business making lower sales (1). Customers will switch to a different business (1), therefore the business will have a lower market share (1) and as a result revenues will go down (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2019 · Paper 2 · Q7(a) · §C

Give 1 marks

CASE STUDY EXTRACT

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

DATA FOR QUESTION 7

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.

FAIRTRADE

© Fairtrade Foundation 2017

Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.

© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea)

Give one stage of the sales process.

MARK SCHEME ANSWER

Award 1 mark for a stage of the sales process. Product knowledge (1). Speed/efficiency of service (1). Customer engagement (1). Responses to customer feedback (1). Post-sales service (1).

June 2019 · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

DATA FOR QUESTION 7

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

ADDITIONAL INFORMATION

Sainsbury's case study (wants to retrain shop floor employees to improve customer service).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.

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Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.

© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea)

Outline one advantage to Sainsbury's of improving its customer service.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an advantage to Sainsbury's from improving its customer service. Award a maximum of 1 mark if points are not linked. This may make Sainsbury's more attractive than competitors such as Tesco (1). Therefore, it may gain more sales (1). People may be able to ask questions to shop floor workers about certain foods (1). This may make Sainsbury's customers more loyal (1). Do not accept advantages that would not relate to Sainsbury's. For example, more people may now choose to go there, improving Sainsbury's profits.

Nov 2020 · Paper 2 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

> In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Which one of the following is a stage in the sales process?

A. Product knowledge
B. Product quality
C. Production
D. Productivity

MARK SCHEME ANSWER

The only correct answer is A - Product knowledge. B is not correct because it is not a stage in the sales process. C is not correct because it is not a stage in the sales process. D is not correct because it is not a stage in the sales process.

Nov 2020 · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html and https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl)

Analyse the impact on KFC of providing poor customer service.

MARK SCHEME ANSWER

Indicative content: Customers may decide to buy fast food from rivals such as Burger King (AO2). This may damage KFC's brand within the market for spicy chicken such as Zinger Tower burgers (AO2). As a result, KFC's revenue may fall compared to rivals. Therefore, KFC may lose market share, reducing its competitive advantage (AO3a). This may reduce KFC's ability to charge a premium on its products. As a result, profit margins on each item may fall leading to lower profits for KFC (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Nov 2021 · Paper 2 · Q1(d) · §A Explain **3 marks**

DATA FOR QUESTION 1

Figure 1 shows the organisational structure of a business. Figure 1: Manager at top, with five Employees boxes underneath connected directly to the Manager.

Explain one disadvantage to a business of having poor customer service.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

Customers may become dissatisfied with the business (1). As a result, they may not make any repeat purchases (1). Therefore, the market share of the business may fall (1).

The brand may be damaged (1). Therefore, the business cannot charge a premium price (1). As a result, profit margins may fall (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q3(c) · §A

Explain 3 marks

DATA FOR QUESTION 3

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

Explain one reason why having a post-sales service may be important to a business.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks.

This allows customers to resolve any problems they may have with the product (1). Therefore, customer loyalty should increase (1). Thus, the business should gain repeat purchases (1).

This could give the business a USP (1). This is because the customer now feels that the business is looking after them once they have purchased the product (1). Therefore, the business could gain a strong brand image for customer care (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 2 · Q3(a) · §A

MCQ 1 marks

DATA FOR QUESTION 3

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Which one of the following is a stage in the sales process?

A. Advertising

B. Customer engagement

C. Product quality

D. Use of different payment systems

MARK SCHEME ANSWER

The only correct answer is B – Customer engagement. A is not correct because it is not a stage in the sales process. C is not correct because it is not a stage in the sales process. D is not correct because it is not a stage in the sales process.

June 2023 · Paper 2 · Q4(b) · §B

Analyse 6 marks

CASE STUDY EXTRACT

> Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Figure 3: An *Ocado* 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. *Ocado* purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the *Ocado* website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. *Ocado* is considering introducing a one-hour, same day delivery service.

In 2020, *Ocado*'s sales rose by more than 40% as demand for online grocery shopping increased. *Ocado* has invested in new technology in its warehouses. This has allowed *Ocado* to use a just in time (JIT) stock management system. As part of this investment, *Ocado*'s robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed *Ocado* to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, *Ocado* is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon and https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html)

June 2023 P2 page 26

Analyse the benefit to Ocado of good customer service.

MARK SCHEME ANSWER

Indicative content: Ocado's 62% excellent rating on Trustpilot could be a source of differentiation compared to Asda (AO2). Grocery shoppers may become more loyal to Ocado due to its excellent food delivery service (AO2). As a result, some shoppers may switch to Ocado from rival firms. Therefore, Ocado may be able to increase its market share, allowing it to increase its revenue (AO3a). Therefore, Ocado may be able to charge higher prices than competitors. This could allow Ocado to generate a higher profit margin on each product sold (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2023 · Paper 2 · Q7(a) · §C

Give 1 marks

CASE STUDY EXTRACT

> Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of $70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

DATA FOR QUESTION 7

> Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019. Sony 2018: 42.5%, 2019: 36.5%. Facebook 2018: 19%, 2019: 28%. HTC 2018: 12.5%, 2019: 13%. Microsoft 2018: 3%, 2019: 0%. Others 2018: 21%, 2019: 21%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B

Figure 4: An Oculus virtual reality headset

In 2004, entrepreneur Mark Zuckerberg started *Facebook*. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, *Facebook* plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of $70.1 billion.

The company has used internal and external growth to expand. Between 2012 and 2020, *Facebook* purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, *Facebook* wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. *Facebook* believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets.

In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429 and https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/)

Give one stage of the sales process.

MARK SCHEME ANSWER

Award 1 mark for a stage of the sales process. Product knowledge (1). Speed/efficiency of service (1). Customer engagement (1). Responses to customer feedback (1). Post-sales service (1). Award any other close interpretation of the stages listed above.

June 2024 · Paper 2 · Q2(b) · §A MCQ **2 marks**

DATA FOR QUESTION 2

> Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

Which two of the following are stages in the sales process?

A. Customer engagement
B. Longer opening hours
C. Market data
D. Product knowledge
E. Product promotion

MARK SCHEME ANSWER

The only correct answers are A - Customer engagement and D - Product knowledge. B is not correct because it is not a stage of the sales process. C is not correct because it is not a stage of the sales process. E is not correct because it is not a stage of the sales process.